

continues to represent the gold standard for investors. If that is indeed true, then other complex fad products are debased by all that alchemy. As we have seen earlier, many have tried, but no one has yet made lead out of gold. Indeed, all these years later, I still struggle to develop *any* methodology (other than relative costs) for identifying winning strategies or winning funds in advance, and for successfully predicting how long those winning strategies will persist or how long those portfolio managers will continue to manage the funds that have delivered those superior returns in the past.

An All-Too-Predictable Outcome

By now, I suppose, I've pretty much painted myself into a corner as an aging mutual fund Luddite who finds himself uninspired—and unimpressed—by the rise of complexity (and excess cost) at the expense of simplicity (and minimum cost). But it's a great corner!

Happily for my peace of mind, and my conscience, I find that nearly all of the positions I've set forth in this chapter have been endorsed by some of the most informed and respected academics of our time—among them, Nobel laureates William Sharpe and Paul Samuelson (soon to have 95 years of wisdom under his belt)—and by the most successful investors of the modern era, beginning with Warren Buffett himself. I'm happy to let David Swensen, the brilliant chief investment officer of the Yale University Endowment, a man with an impeccable character and a peerless reputation for intellectual integrity, speak for these deservedly lauded intellects, and for me as well:

The fundamental market failure in the mutual-fund industry involves the interaction between sophisticated, profit-seeking providers of financial services and naïve, return-seeking consumers of investment products. The drive for profits by Wall Street and the mutual-fund industry overwhelms the concept of fiduciary responsibility, leading to an all too predictable outcome . . . The mutual fund industry consistently